

RESERVE BANK OF INDIA Department of Regulation Central Office, Mumbai

Ref.No. RBI/2026-27/72 Date: June 27, 2026

To: All Scheduled Commercial Banks (SCBs)

Subject: Master Direction on Comprehensive Branch Operations and Security (Q3 2026)

To ensure the stability and security of the banking sector, the Reserve Bank of India mandates the following immediate actions across all commercial branches:

- 1. Cyber Infrastructure Upgrade:** The **IT Security** department must immediately patch all branch routers to the latest WPA3 encryption standards and disable legacy FTP ports to prevent unauthorized network breaches. This must be completed within 15 days.
- 2. Portfolio Stress Testing:** The **Risk Management** division is required to conduct an immediate stress test on all unsecured loan portfolios exceeding ₹10,00,000 to assess default probabilities under the new interest rate hike.
- 3. Video-KYC Audits:** The **Compliance** team must review the backlog of Video-KYC applications. Any account that has not been fully verified within the 7-day grace period must be temporarily frozen until documentation is cleared.
- 4. Vendor Contract Review:** The **Legal** department must audit all third-party software vendor contracts to ensure they comply with the new Data Protection Act liability clauses. Any non-compliant contracts must be renegotiated by the end of the month.
- 5. Customer Service SLAs:** To reduce branch congestion, **Retail Banking** teams must ensure that standard cash deposit and withdrawal requests for walk-in customers are processed within a strict 10-minute Service Level Agreement (SLA).

Failure to implement these directives will result in immediate branch audits and potential penalties.

Yours faithfully, Chief General Manager-in-Charge